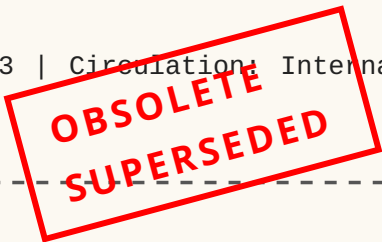


NOVATECH EMPLOYEE LEAVE POLICY

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1. Overview and Applicability

This document outlines the standard leave entitlements for all full-time, permanent employees of NovaTech Industries for the calendar year 2023. Contract employees and interns are subject to separate leave agreements outlined in their respective contracts. Leaves are credited on a pro-rata basis at the beginning of each quarter (Jan, Apr, Jul, Oct).

2. Leave Categories & Entitlements

Leave Type	Annual Quota	Description, Rules & Limitations
Earned Leave (EL)	15 days	Accrued at 1.25 days per month. Can be carried forward to the next calendar year up to a maximum of 30 days. Taking more than 3 consecutive EL days requires a minimum of 2 weeks advance notice to the reporting manager.
Sick Leave (SL)	5 days	Intended for medical emergencies and personal illness. A registered medical practitioner's certificate is strictly required if taken for more than 2 consecutive days. Sick leave lapses at the end of the calendar year and cannot be carried forward or encashed.
Casual Leave (CL)	5 days	Intended to cover unforeseen personal matters or urgent errands. Cannot be carried forward. A maximum of 2 consecutive Casual Leave days are allowed. Cannot be clubbed with Earned Leave.

3. Maternity & Paternity Leave

- **Maternity Leave:** Female employees are entitled to 26 weeks of paid leave as per statutory requirements, provided they have worked for the company for at least 80 days in the preceding 12 months.

- **Paternity Leave:** Male employees are entitled to 3 days of paid leave. This must be utilized within 1 month of the child's birth. Unused paternity leave lapses.

4. Leave Encashment

At the end of the calendar year, employees may opt to encash a maximum of 10 days of their accumulated Earned Leave (EL) balance, provided their total EL balance does not fall below 15 days after encashment. The encashment amount is calculated strictly on the base salary component, excluding allowances.

5. Sabbatical Leave

Employees completing 5 years of continuous service are eligible to apply for a 3-month unpaid sabbatical. Approval is at the discretion of the Department Head and HR, based on business requirements. During a sabbatical, benefits such as health insurance will continue, but leave accrual will be suspended.

6. Public Holidays

Employees are entitled to 10 mandatory paid public holidays per year. The finalized list of holidays is declared by the regional HR office in December of the previous year. If an employee is required to work on a public holiday due to a critical release, they will be granted a Compensatory Off (Comp-Off) valid for 30 days.

7. Application and Approval Workflow

All leaves must be applied for and approved through the legacy HRMS portal (Oracle). Verbal approvals are not recognized by Payroll. Managers have a strict 48-hour SLA to approve, reject, or request modification to leave requests. Any unapproved absence, or failure to report to work without notifying a manager within 24 hours, will be marked as Loss of Pay (LOP) and may lead to disciplinary action for job abandonment.